

representativeness that this reflects future conditions, likewise supporting the trend.

We found that the trend lifecycle framework and proposed underlying psychological factors made good intuitive sense and were consistent with both the momentum effect itself as well as many established behavioral finance concepts.

The growing academic body of work supporting the existence of the momentum effect, along with a sensible psychological framework that explains it, are a potent combination. Indeed, momentum has been labeled by Eugene Fama, winner of the 2013 Nobel Prize in Economics and king of the efficient market hypothesis, as “the premier anomaly.”^{[21](#)}

Does Momentum Work?

Momentum investing may sound preposterous to those who believe in efficient markets. The idea is simple: Each month, rank stocks on past prices and buy the top decile of firms that have performed the best over the past 12 months. The summary statistics for momentum portfolio returns for all US stocks (using Ken French's data) from January 1, 1927, to December 31, 2014, are presented in [Table 8.4](#). We show the results of value-weighted portfolios to the top decile formed on momentum (2- to 12-month look-back) and the bottom decile formed on momentum (2- to 12-month look-back).